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NATURE OF PROCEEDINGS:

Hearing on Defendants' Demurrer

Defendants' Demurrer is overruled.

BACKGROUND

Plaintiff Farhad Ardeshirpour-Zartoshti (Plaintiff), a physician and surgeon board certified in facial plastic and reconstructive surgery, filed this action against Cooperative Of American Physicians, Inc. (CAP) and Mutual Protection Trust (MPT) (collectively, "Defendants"). Plaintiff was a member of CAP and a participant in MPT, an unincorporated interindemnity arrangement organized under Insurance Code section 1280.7, and received professional liability coverage under the Mutual Protection Trust Agreement (the Agreement). (Compl. ¶¶ 3, 13-14, Exs. B, C.)

A former patient, Melissa Penuela, filed an action against Plaintiff and others, Los Angeles Superior Court Case No. 25STCV29227 (the Underlying Action), alleging that Plaintiff represented that his surgical services would leave no visible scars or other visible disfigurement, that she paid approximately \$21,000 for the procedures, and that she instead sustained permanent, visible, disfiguring scars and bumps on her face. (Compl. ¶ 11, Ex. A.) The operative pleading in the Underlying Action is the first amended complaint (the FAC), which pleads causes of action for Breach of Written Contract, Breach of Express Warranty, Constructive Fraud, Fraudulent Inducement, Fraudulent Deceit, Negligent Misrepresentation, False Advertising, Unfair Business Practices, and Violation of the Consumer Legal Remedies Act. (Defs.' RJN, Ex. 1.) Plaintiff tendered the claim. Defendants declined to

appoint defense counsel, on the ground that the Underlying Action did not allege damages arising out of a negligent act, error, or omission in the provision of Professional Services and that several exclusions applied. (Compl. ¶¶ 17, 20-23, 25, Exs. E, G.)

The causes of action in the Complaint are Declaratory Relief regarding the duty to defend, Breach of Contract, and Declaratory Relief regarding tort liability for breach of the implied covenant of good faith and fair dealing.

Defendants filed the Demurrer, which is directed at each of the three causes of action. (Notice of Demurrer pp. 1:21-2:6.) Plaintiff filed an Opposition, and Defendants filed a Reply.

LEGAL STANDARD

When considering demurrers, courts read the allegations liberally and in context. (*Wilson v. Transit Authority of City of Sacramento* (1962) 199 Cal.App.2d 716, 720-721.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleading alone, and not on the evidence or facts alleged.” (*E-Fab, Inc. v. Accountants, Inc. Servs.* (2007) 153 Cal.App.4th 1308, 1315.) As such, courts assume the truth of the complaint’s properly pleaded or implied factual allegations. (*Ibid.*) However, they do not accept as true deductions, contentions, or conclusions of law or fact. (*Stonehouse Homes LLC v. City of Sierra Madre* (2008) 167 Cal.App.4th 531, 538.) Where the allegations conflict with the exhibits to the complaint, the Court accepts the exhibits and treats the pleader’s allegations about their legal effect as surplusage. (*Barnett v. Fireman’s Fund Ins. Co.* (2001) 90 Cal.App.4th 500, 505.)

REQUEST FOR JUDICIAL NOTICE

Defendants request judicial notice of the FAC and of Melissa Penuela’s memorandum of points and authorities opposing a demurrer in the Underlying Action. (Defs.’ RJN, Exs. 1, 2.) Plaintiff requests judicial notice of a minute order entered in the Underlying Action. (Pl.’s RJN, Ex. A.) Each is a record of a court of this state, and the Court grants each request. (Evid. Code, § 452, subd. (d).) The Court notices that these documents were filed and the allegations and rulings they set out, not the truth of what they assert. (*Fremont*

Indemnity Co. v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 113.)

ANALYSIS

I. Untimely Opposition

Plaintiff filed the Opposition after the deadline set by Code of Civil Procedure section 1005, subdivision (b), and submitted a declaration attributing the delay to a failure of the electronic filing system. (Collins Decl. ¶¶ 3-14, Exs. A-E.) The Court exercises its discretion to consider the Opposition. (Cal. Rules of Court, rule 3.1300(d).)

II. Duty to Defend

The first and second causes of action rest on a single premise, that the Underlying Action presented a potential for indemnity under the Agreement and so triggered a duty to defend. (Compl. ¶¶ 28, 34.)

A. The Coverage Grant

The scope of coverage is set by the Agreement, which the Complaint attaches and quotes. (Compl. ¶ 15, Ex. C.) A “Claim” is defined as any notice of intent, demand for arbitration, lawsuit, cross complaint, counterclaim, or demand for payment received by a member. An “Occurrence” is defined as a negligent act, error or omission, or a series of related negligent acts, errors or omissions, taking place during the Coverage Period and in the course of the member’s provision of Professional Services. “Professional Services” is defined as rendering or failing to render medical or surgical treatment to the member’s patient, medical diagnoses, medical opinions, or medical advice to the member’s patient, or referral of the member’s patient to another health care practitioner. Under Part 1, Section 1, MPT pays what a member becomes legally obligated to pay as money damages for a patient’s injury, because of a Claim based on an Occurrence that caused those damages; under Part 1, Section 2, MPT defends a member against a Claim payable on that basis.

In other words, the Agreement requires MPT to pay money damages a member owes for a patient’s injury caused by the member’s negligence in caring for that patient, and to defend any lawsuit or demand payable on that basis. The negligence must have occurred during the Coverage Period, and the

lawsuit or demand must have been first made and reported to MPT during that period. (Compl. ¶ 15.) Neither the coverage period nor the reporting requirement is at issue on this Demurrer.

The parties agree that duty to defend principles govern the defense promised in the Agreement. (Opposition p. 3:18-20; Reply pp. 1:2-3, 2:11-18.) An insurer must defend a suit that potentially seeks damages within the coverage of the policy, and it cannot “construct a formal fortress of the third party’s pleadings and retreat behind its walls,” because the third party plaintiff is not the arbiter of coverage. (*Gray v. Zurich Insurance Co.* (1966) 65 Cal.2d 263, 275-276.) “[T]he insured need only show that the underlying claim may fall within policy coverage; the insurer must prove it cannot. Facts merely tending to show that the claim is not covered, or may not be covered, but are insufficient to eliminate the possibility that resultant damages (or the nature of the action) will fall within the scope of coverage, therefore add no weight to the scales.” (*Montrose Chemical Corp. v. Superior Court* (1993) 6 Cal.4th 287, 300.) “[T]hat the precise causes of action pled by the third party complaint may fall outside policy coverage does not excuse the duty to defend where, under the facts alleged, reasonably inferable, or otherwise known, the complaint could fairly be amended to state a covered liability.” (*Scottsdale Ins. Co. v. MV Transportation* (2005) 36 Cal.4th 643, 654.) The duty has limits. “[T]he duty to defend, although broad, is not unlimited; it is measured by the nature and kinds of risks covered by the policy.” (*Waller v. Truck Ins. Exchange, Inc.* (1995) 11 Cal.4th 1, 19; Reply p. 2:19-20.)

The Court accepts Defendants’ reading of the coverage grant. The Agreement reaches only liability for damages caused by a negligent act, error, or omission in rendering Professional Services, and an Occurrence so defined is narrower than the accident-based occurrence of a standard general liability policy. (Demurrer pp. 6:15-7:6.) The question is whether the Underlying Action presented a potential for liability of that kind.

B. The Potential for a Covered Claim

The Complaint alleges that Penuela received from Plaintiff a facelift and neck lift and later scar revisions that left her with permanent, visible, disfiguring scars and bumps on her face, and that she sought damages for physical disfigurement, emotional distress, pain and suffering, and the

cost of corrective treatment. (Compl. ¶ 11(e)-(f).) The FAC pleads the same injury and the same damages. It alleges that Plaintiff failed to deliver the promised result of no visible scars or other visible disfigurement and that Penuela sustained visible, prominent, permanent, disfiguring scars and bumps on her face. (FAC ¶ 56.) It further alleges that she suffered physical disfigurement, emotional distress, pain and suffering, and the cost of future corrective treatments, along with economic damages including the price of the procedures. (FAC ¶¶ 171-176.)

The Agreement conditions coverage on conduct rather than on the label a third party attaches to her claim. A Claim is defined by the kind of document a member receives, not by what that document alleges. An Occurrence is an act, which the Agreement requires to have taken place within the Coverage Period. And payment is conditioned on the Damages having been caused by that act. Where the Agreement means to withdraw coverage on a basis other than the member's conduct, it says so. Exclusion 23 withdraws categories of recovery, among them statutory penalties, punitive damages, restitution, and disgorgement of profits. Exclusion 5 withdraws Claims arising out of a particular kind of dispute, a business or commercial one. Part 1, Sections 1 and 2 are drafted in neither of those ways. (Compl. ¶ 15.)

A promise of a specific surgical outcome can be broken without any departure from the standard of care, and if that is what occurred there is no negligence. (Demurrer p. 7:17-23.) But the two characterizations are not mutually exclusive here. Surgery that departs from the standard of care may also fail to deliver a promised result, so the same conduct that broke the promise Penuela pleads may be a negligent act, error, or omission in rendering surgical treatment. Nor is the FAC confined to a promised result. It alleges a promised method, that the incisions would be strategically made so that any scars on Penuela's face would be hidden and not visible, with the concealed scars from her husband's earlier procedure, hidden in wrinkles and creases around the ear and in the hair, offered as the example of how that would be done. (FAC ¶¶ 17, 24-25.) A representation about where a surgeon will cut describes the operative plan, and the FAC alleges the scars appeared where Penuela had been told they would not. That it does not allege in terms that Plaintiff cut where he should not have is beside the point. (Reply p. 4:21-23.)

The consequence is direct. If Plaintiff negligently performed the surgery, and that negligence caused the injury for which Penuela seeks damages, the Agreement obligates MPT to indemnify him, and it does so

whether the judgment against him rests on her breach of contract count or on any other. The Supreme Court reached the same conclusion about a comparable promise, holding that an undertaking to pay what the insured becomes legally obligated to pay as damages may reach losses pleaded as contractual damages, because coverage turns on the nature of the damage and the risk rather than on the form of action the injured party chose. (Vandenberg v. Superior Court (1999) 21 Cal.4th 815, 839-841.) Nothing in the FAC forecloses that possibility, and Defendants must rule it out rather than offer an alternative to it. A potential for indemnity therefore exists, and the duty to defend follows. That potential does not depend on amendment of the FAC. The Agreement reaches the conduct Penuela has already alleged, however she has chosen to plead it.

Penuela's disclaimer does not foreclose that potential. Her operative pleading states in capital letters in its first line that the action is not based on the negligent provision of medical care, and she repeated the point in opposing a demurrer in the Underlying Action. (Demurrer pp. 7:24-8:5; Reply pp. 4:19-5:7.) In *Low v. Golden Eagle Ins. Co.* (2002) 99 Cal.App.4th 109, 113-114, no defense was owed because the underlying plaintiff expressly disclaimed any interest in recovering damages for her personal injuries, the very damages that would have triggered coverage. (Reply pp. 2:27-3:21.) That is not this record. The disclaimer in *Low* operated on the damages element. It removed the category of loss coverage depended on, leaving only economic damages the policy did not reach. Penuela's statement operates on a different element. She still seeks money damages for a patient's injury, so that element remains satisfied. (FAC ¶¶ 171-176.) Defendants' own coverage counsel wrote that the Underlying Action seeks Damages because of a Claim as those terms are defined in the Agreement. (Compl. ¶ 22.) What she disclaims is a characterization of the conduct that caused that injury. A pleader controls the relief she requests. She does not control whether the surgery departed from the standard of care, which is a fact about what occurred rather than an allegation she owns.

A defense is excused where the third party complaint "unambiguously disclaims or concedes an element." (*Hudson Ins. Co. v. Colony Ins. Co.* (9th Cir. 2010) 624 F.3d 1264, 1270; Reply pp. 5:24-7:10.) The FAC does neither of those things unambiguously. Its opening line rejects a malpractice characterization, but the same pleading alleges a promised method of incision that the procedures failed to follow. A disclaimer is not unambiguous when the pleading's own factual allegations remain

consistent with the theory disclaimed. The balance of Hudson cuts the other way. It rejects the argument that an underlying plaintiff's deliberate choice not to plead a covered theory defeats the defense duty, holding that no election or conscious avoidance theory has support in the case law. A cause of action's technical label does not dictate the duty to defend, whether the theory was left out through negligence or for strategic reasons. And Hudson explains that the speculation cases, including *Gunderson v. Fire Ins. Exchange* (1995) 37 Cal.App.4th 1106, found no potential for coverage because the complaint alleged no facts supporting a covered claim, not because it omitted a legal theory. (Hudson, supra, 624 F.3d at pp. 1268-1269; Opposition pp. 5:5-20, 9:16-19; Reply pp. 2:22-26, 3:23-4:10.) Here, by contrast, the FAC alleges facts about how the surgery was performed. The potential identified above therefore requires no assumption about facts outside the pleading.

Penuela also asserted that her action is not subject to the Medical Injury Compensation Reform Act, avoiding its limitations period and limit on noneconomic damages, so Plaintiff may be held liable in the Underlying Action without any finding that he fell below the standard of care. (Demurrer pp. 8:6-9:3.) That Plaintiff may be held liable on a theory the Agreement does not cover does not show that he cannot be held liable on one it does. Whether Penuela's characterization in fact places her action outside that Act is a question for the Underlying Action, not for this Court, and it does not narrow the facts she has pleaded.

The Complaint further alleges facts extrinsic to the Underlying Action and known to Defendants before and after tender, including a prelitigation letter from Penuela's counsel describing the facelift, neck lift, and later scar revisions as having caused prominent, visible, disfiguring scars, Plaintiff's transmittal of medical records, photographs, and videos of his care and treatment, and CAP's consultation with plastic surgery experts, followed by assurances to Plaintiff that his care was within the standard of care, that he was fully covered, and that CAP would defend him. (Compl. ¶¶ 16-18.) Those allegations describe Defendants treating the tendered claim as one that presented a question about the standard of care in surgical treatment. Facts otherwise known to the insurer bear on the defense duty. (Scottsdale, supra, 36 Cal.4th at p. 654.) Taken as true, they do not eliminate the possibility of a covered liability predicated on negligent acts, errors, or omissions.

C. The Remaining Counts

The Demurrer challenges the remaining counts individually: the fraud-based counts and the negligent misrepresentation count as not Occurrences, the unfair business practices count as seeking no covered “damages” at all, and the Consumer Legal Remedies Act count as falling outside the Agreement. (Demurrer pp. 9:4-12:7.) Plaintiff concedes the last two. (Opposition p. 10:13-14.) The Court need not decide whether the fraud-based counts or the negligent misrepresentation count would independently state an Occurrence. Where an action is mixed, so that at least one claim is potentially covered and others are not, the insurer has a duty to defend the entire action. (Buss v. Superior Court (1997) 16 Cal.4th 35, 49.)

D. Exclusion 5

Exclusion 5 does not defeat the defense duty. (Demurrer p. 12:8-20; Reply pp. 9:14-28.) The provision withdraws indemnity and defense for any Claim arising out of a business or commercial dispute. The claim types it then lists, among them breach of contract, unfair or fraudulent business practices, and deceptive or misleading advertising, follow that phrase as illustrations of it. (Compl. ¶ 15.) Read as Defendants read it, the exclusion would swallow the coverage grant, because a patient dissatisfied with a surgical result can nearly always plead in contract. Defendants bear the burden of establishing the absence of any potential for coverage, and on demurrer must do so on the face of the pleading. (Montrose, supra, 6 Cal.4th at p. 300.) The injury the FAC describes is disfiguring facial scarring left by a surgical procedure and by the scar revisions that followed. (FAC ¶ 56.) Whether a claim for that injury arises out of a business or commercial dispute cannot be resolved against Plaintiff on this pleading.

E. Theories the Court Does Not Reach

Because the Underlying Action presented a potential for indemnity under the terms of the Agreement, the Court does not reach Plaintiff's alternative theory that the same result follows from Civil Code section 2778 and the noninsurance indemnity cases applying it, or the answer that those cases turn on indemnity language unlike the language here. (Opposition pp. 5:21-6:23; Reply pp. 7:11-9:13.) Nor does the Court rest on the minute order in the Underlying Action, offered for the propositions that the contract Penuela sued on was an informed consent form and that her fraud allegations concern the

manner in which professional services were provided. (Opposition pp. 8:25-28, 9:20-10:11.) Judicial notice reaches the fact that those rulings were made, not the truth of the findings underlying them. Neither ruling determines the scope of coverage under the Agreement, and the allegations of the Complaint and the FAC suffice without it.

Accordingly, the Demurrer to the first and second causes of action is overruled.

III. Tort Damages for Breach of the Implied Covenant

The third cause of action seeks a declaration that Plaintiff has a legally cognizable claim for tort damages arising from Defendants' breach of the implied covenant of good faith and fair dealing. (Compl. ¶¶ 41-42.) The Demurrer rests on the propositions that tort recovery for breach of the implied covenant is confined to insurance, that neither CAP nor MPT is an insurance company, and that the Agreement is not an insurance policy. (Demurrer pp. 12:21-15:7.)

The implied covenant is a contract term, so a breach of it ordinarily supports contract damages only, and the Supreme Court presently recognizes a single exception, for insurance policies. (Foley v. Interactive Data Corp. (1988) 47 Cal.3d 654, 684.) A court must take great care before extending that exception to another kind of contract. (Cates Construction, Inc. v. Talbot Partners (1999) 21 Cal.4th 28, 46.) Whether the exception is best described as a special relationship test is disputed and immaterial. (Opposition pp. 11:23-12:17; Reply p. 10:20-23.) Cates identifies the characteristics of the contract and the policy considerations that support tort remedies, and those are what the Court applies.

The Insurance Code is not the measure of whether tort remedies are available for breach of contract. Insurance Code section 1280.7 exempts interindemnity arrangements from the rest of the Insurance Code and forbids them from representing that they constitute insurance. Cates considered the mirror image of that argument and rejected it. Although suretyship is listed in the Insurance Code as a class of insurance, "it does not follow that a surety bond equates to a policy of insurance under the common law or common law theories of liability"; the court must instead evaluate whether the policy considerations recognized in the common law support tort

remedies for the contract at issue. (Cates, supra, 21 Cal.4th at p. 52.) A statutory classification that answers a regulatory question does not answer the common law one, and that is so whether the statute sweeps a contract into the Insurance Code or carves it out.

Those considerations are adhesion and unequal bargaining power, public interest, and fiduciary responsibility, along with the purchase of security rather than commercial advantage and the unique “economic dilemma” of a party who cannot return to the marketplace for protection against a loss already incurred. (Cates, supra, 21 Cal.4th at pp. 52-56.)

Whether an arrangement carries those characteristics is a question of law, but it is answered from facts about how the arrangement is written and how it operates, and at this stage those facts come from the Complaint and its exhibits. The Complaint alleges that members do not negotiate the terms of their coverage in any meaningful way; that Defendants are entrusted with members' sensitive medical records and with the defense of claims against them; that members participate for security rather than profit or advantage; and that a member already sued cannot obtain protection elsewhere for a loss already incurred. (Compl. ¶ 42(b)-(d).) On those facts, taken as true, the Court cannot say the arrangement lacks the characteristics the exception rests on.

Cates itself identified the feature that most sharply separated the surety from the liability insurer. Tort liability in the liability insurance setting rests largely on the insurer taking over the insured's defense and the settlement of third party claims. A surety does neither. It owes the obligee no defense and has no right to speak for the obligee's interests. (Cates, supra, 21 Cal.4th at p. 56.) The Agreement, as pleaded, does both. MPT must defend a member against a covered Claim. MPT conducts settlement negotiations and settles, subject to the member's consent and the consent of its Claims Review Committee. The member may not settle or incur expense without MPT's written authorization. MPT may be held to have waived the limit of liability if it declines a member's reasonable request to settle within that limit. (Compl. Ex. C, Part 1, §§ 2, 7.A-7.B, 8.B-8.C.)

The remaining argument is one of public policy. Any amount paid in defending or indemnifying a loss under the Agreement comes directly from the member physicians rather than from an insurance company; the Legislature authorized these arrangements in response to the escalating cost of medical malpractice insurance and designed them as a lower cost alternative; and subjecting them to tort damages would penalize the members out of whose

contributions claims are paid and raise the cost of the very alternative the Legislature created. (Demurrer pp. 14:19-15:7; Reply p. 10:10-19.)

Cates weighs the consequences of allowing tort recovery as part of the same inquiry. (Cates, *supra*, 21 Cal.4th at pp. 57-59.) The purpose of the legislation and the reach of Insurance Code section 1280.7 are questions of law, and the Court takes neither from the parties' allegations. For the reasons stated above, a classification made for regulatory purposes does not answer the common law question.

The rest of the argument concerns how the arrangement operates, and there the Complaint and its exhibits govern. That members bear liability for assessments describes a consequence of imposing liability. It is not a reason the arrangement lacks the characteristics the exception rests on. The documents describe an arrangement built to operate as medical professional liability coverage. Coverage is written on a claims made and paid basis, with a limit of liability of \$1 million for all Claims based upon an Occurrence and a \$3 million annual aggregate. (Compl. Ex. B, p. 35 of 151.) MPT buys reinsurance to limit the amount and frequency of unanticipated assessments and includes its cost in each member's assessments; it maintains a reinsurance program against catastrophic losses, and elected higher limits must be fully reinsured through an insurer carrying an A.M. Best rating of at least "A." (Compl. Ex. C.) The disclosure statement Defendants furnish to prospective members states that MPT coverage for the defense and indemnity of medical professional liability Claims is substantially identical to the coverage provided by medical professional liability insurance companies, and that it differs in the method by which Claims are funded and in the members' continuing obligations to fund MPT. (Compl. Ex. C, pp. 97, 101 of 151.) That the same document states that MPT is not an insurance company and that its coverage may not be represented as insurance is the regulatory point already addressed. On this pleading, the consequences identified do not establish that the insurance exception cannot reach this arrangement.

Mundy and Stoops do not hold otherwise. Mundy v. Mutual Protection Trust (1990) 219 Cal.App.3d 127 held that a patient who was a stranger to the interindemnity agreement could not sue the arrangement over its handling of her malpractice claim, both because any duty ran to the member rather than to her and because Insurance Code section 790.03 creates no private right of action. (*Id.* at pp. 131-132.) Stoops v. Abbassi (2002) 100 Cal.App.4th 644 held that one member could not sue other

members directly to collect unpaid assessments; the member's breach of contract and tortious breach of contract claims against the arrangement itself were not before the court. (Id. at pp. 648-649.) Neither decision holds that a member may not recover tort damages from the arrangement for its handling of the member's own claim.

Accordingly, the Demurrer to the third cause of action is overruled.

CONCLUSION

Defendants' Demurrer is overruled. Defendants are to answer within twenty days.